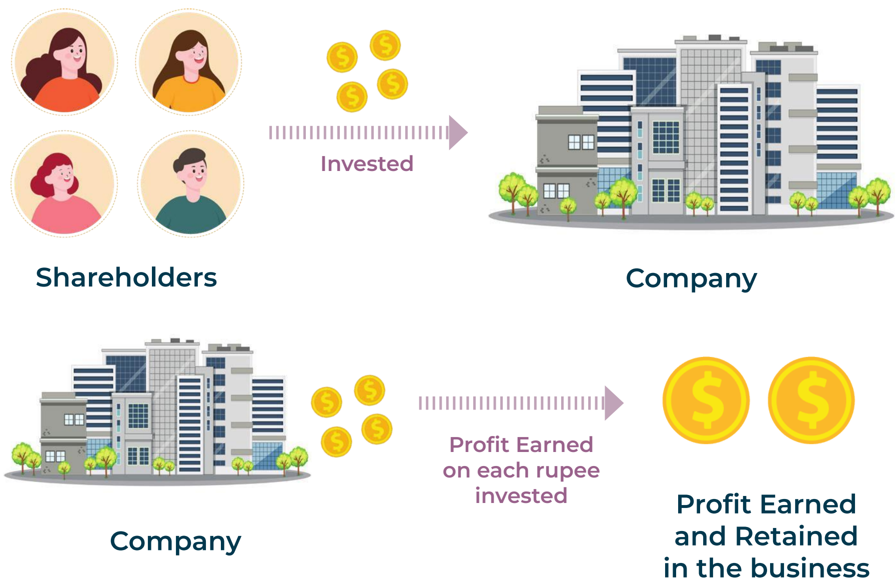
The common metrics like return on equity, and return on capital and breaking them down for DuPont analysis are evaluated to understand the quantitative performance of the industry.

- Further, investment needs and cash flow generating ability of the industry are evaluated.

The common metrics to evaluate the quantitative performance of the industry are:

ROE - Return on Equity

Return on equity (ROE) refers to profit earned after taxes on each rupee invested as equity in the business. Equity refers to the amount invested by the owners in the business and the sum of earnings retained within the business over the years. We can see that shareholders capital in the balance sheet.



The higher the return on equity, the lower would be the equity investment required to produce a certain profit.